Sedemac Mechatronics Ltd

Concall Tracker • prepared 11 July 2026 • source: Screener.in (BSE 544723 / NSE SEDEMAC) • *Not investment advice*

1. Snapshot

What the business does (in plain words): Sedemac designs and makes small "brain boxes" for engines and motors — electronic control units (ECUs), the computers that tell an engine or an electric motor how to run. They sell these to makers of two-wheelers, three-wheelers, backup power generators (gensets) and other small engines in India, the US and Europe. Their special trick is **"sensorless" motor control** — running a motor accurately without the usual physical position-sensors, which saves cost and removes a part that can fail. Their flagship product, the ISG ECU, powers the start-stop / idle-stop feature on scooters and motorcycles. They design and build everything in-house with no foreign technical partner.

Number (FY26, year ended Mar 2026)	Value	Plain-English read
Revenue (total sales)	**Rs 1,058 cr**	Total sales for the year — up about 61% from last year, and the first time they have crossed Rs 1,000 cr. Three-year sales growth rate is about 36% a year.
Operating profit / EBITDA	**Rs 217 cr (20-21% margin)**	Profit from core operations before interest, tax and wear-and-tear charges. Out of every Rs 100 of sales, about Rs 20 is operating profit — and this margin has climbed steadily from 12% in FY21.
Net profit (bottom line)	**Rs 104 cr**	What is left after all costs and tax — more than double last year's Rs 47 cr.
ROCE (return on capital)	**~36-40%**	For every Rs 100 of capital put into the business, it earns about Rs 36-40 a year before tax — an unusually high, capital-light return.
Debt (borrowings)	**Rs 72 cr**	Small borrowings against Rs 449 cr of own funds — the business is barely leveraged and largely self-funded.
Market value / P/E	**Rs 12,124 cr • P/E 117**	The stock market's price tag on the whole company. A price-to-earnings of 117 means investors pay Rs 117 for every Rs 1 of yearly profit — a **very expensive** valuation that already bakes in years of fast growth.

2. Concall coverage

This is a **recent IPO (listed in 2025)**, so the concall history is thin. Only **one** earnings-call transcript is available on Screener — the company's first-ever call as a listed company.

Quarter	Date	Transcript read?
Q4 & full-year FY26	18 May 2026	Yes — read in full

Coverage spans a single call. Management noted they had held six investor calls *before* the IPO, but those are not on Screener. Because only one listed-company call exists, the "management consistent over time" question can only be judged lightly — there is not yet a multi-quarter promised-vs-delivered record as a public company. This limitation is flagged again in the verdicts.

★ Latest concall highlights — Q4 FY26 (call held 18 May 2026)

- **Record year, growth accelerating.** FY26 revenue Rs 1,058 cr, up 61% — meaning sales grew by nearly two-thirds in a single year. Q4 alone did Rs 288 cr (also up 60%+). Profit grew even faster than sales because fixed costs are spread over more volume (operating leverage). They sold 3.9 million-plus control ECUs, up 60%.
- **The regulation tailwind is real.** A new emission rule (OBD-2B) that took effect 1 April 2025 pushed widespread adoption of their ISG unit in ICE (petrol) three-wheelers and two-wheelers — this is the single biggest driver of the jump. Three of the top four two-wheeler makers now use Sedemac's sensorless ISG.
- **FY27 growth levers named.** ISG going onto three popular top-10 motorcycle models (three different big customers) — production on one has already started; continued ramp of electric-vehicle motor controllers (e2W/e3W MCUs); and ISG rollout on export three-wheelers.
- **Big capacity build under way.** New plant MF3 (three times the size of the current plant, 120,000 vs 40,000 sq ft) starts shipping Q2 FY27; MF4 for electric motors starts Q3 FY27; plus new land at Shoolagiri. This is groundwork to grow output up to 3x over time.
- **Tone: confident but deliberately guidance-shy.** Management repeatedly refused to give revenue, margin or order-book targets ("we do not know — it depends on customer demand"), while flagging mild margin pressure from commodity/chip cost inflation and a possible El Nino hit to monsoon (two-wheelers) and US hurricanes (gensets). Analysts openly praised the transparency.

Business mix & capacity (quick facts)

Domestic vs export: Almost entirely domestic. All two-/three-wheeler sales are to Indian vehicle makers; exports are only in the genset (backup generator) space, roughly **US$10 million** (~Rs 85 cr, about 8% of revenue) in FY26. Plain read: *over ~90% of sales are within India today, though their parts end up in ~100 countries because their customers export.*

Capacity utilization: Plants are running high — management did not dispute an analyst's ~80-85% figure (drawn from the IPO prospectus). Plain read: *the current plant is nearly full, which is exactly why the much larger MF3 plant is being built to create headroom.* Production lines are "fungible" (can switch between products).

3. Earning trigger thesis

The core trigger: Sedemac is riding a multi-year **penetration wave**. Its sensorless ISG start-stop technology is being adopted across more and more petrol two-/three-wheeler models — pushed along by tighter emission rules (OBD-2B) and by the money-saving combined ISG+EFI unit — and management believes "eventually all petrol two-wheelers will have ISG." On top of that, it is layering new engines of growth: electric-vehicle motor controllers (where it claims a world-first sensorless design), genset controllers for North America, and future entries into commercial-vehicle and power-tool controls. Because it is close to a sole supplier in sensorless motor control (only Shindengen and, to an extent, Denso compete), each new model win drops through to fast, high-margin, capital-light growth. The trigger is concrete and already visibly playing out in the numbers.

Trigger	What management said	Evidence so far	Time horizon	Strength
ISG penetration in petrol 2W/3W	OBD-2B rule drove "widespread adoption"; 3 of top-4 2W makers use it; all ICE 2W will have ISG eventually	FY26 revenue +61%; ISG-fitted 2/3W rose to 8.4M from 5.1M three years ago; >80% of that volume growth was Sedemac	Multi-year, live now	Strong
ISG on top-10 motorcycle models (FY27)	Going onto 3 popular top-10 motorcycles of 3 different top-4 makers	Production already started on one; two more expected FY27	FY27	Strong
Electric-vehicle motor controllers (MCUs)	World-first sensorless EV controller; e2W/ e3W ramping; "making a dent in EV"	e3W MCU live from Q4 FY25, e2W SOP in FY26; EV = 7.4% of 2/3W revenue	2-4 years	Moderate
New markets: commercial-vehicle & power-tool controls	CV after-treatment controller SOP H2 FY27; first power-tool win (300M+ units/yr market)	Early — first small customer win only; no volumes disclosed	3-5 years	Unproven / early

4. Management consistency scorecard

Only one listed-company call exists, so this is a limited read — there is no multi-quarter public promised-vs-delivered trail yet. The row below judges the long-run pre-IPO record against the FY26 result, plus how management is conducting itself now.

Period	What was promised / claimed	What actually happened	Verdict
FY23-FY26 (long-run thesis)	Sensorless ISG would see "widespread adoption" and drive profitable, capital-light growth	Delivered: 36% three-year sales CAGR, margins up from 12% to 20%, ROCE ~40%, FY26 +61%	Delivered
FY26 first listed call	Named FY27 drivers (top-10 ISG models, EV MCUs, export 3W) and capacity build (MF3/MF4)	Too early — these are FY27 events; one FY27 ISG launch has already begun	Too-early
Conduct / disclosure	Ran a risk-assessment survey, discussed customer concentration and EV-relevance openly, refused to over-promise	Consistent, unusually candid; declined all forward guidance rather than hype	Delivered (in spirit)

Narrative drift: None visible. The stated aspiration — "produce fresh control technologies and see widespread adoption" — is described as unchanged since the company's founding, and the FY26 story is a natural continuation of it, not a pivot. The caution is simply that we have *only one* listed call, so consistency *as a public company* is unproven by definition. Management is notably transparent (multiple analysts praised it) and deliberately conservative on guidance, which is a good sign but is not the same as a demonstrated multi-year listed track record.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: the ISG penetration wave (helped by emission rules and the cost-saving ISG+EFI unit), stacked with EV motor controllers and new-market optionality, all sitting on a near-monopoly in sensorless motor control. It is not a promise — it already produced 61% revenue growth and doubled profit in FY26, with 3 of the top 4 two-wheeler makers on board. **Important caveat:** the trigger is strong, but the stock is priced at a P/E of 117, so a great business does not automatically mean a great price — much of this growth is already paid for in the valuation.

Management consistent about it? → MAYBE

The long-run financial record (steadily rising margins, 36% growth CAGR, high returns) and the unusually candid, no-over-promising tone are genuinely encouraging. But there is only **one** concall as a listed company, so a proper promised-vs-delivered track record simply does not exist yet

— the honest verdict is MAYBE (too early to confirm), leaning positive. Re-assess after two or three more quarterly calls to see whether the named FY27 drivers actually land as described.

Figures rounded; "cr" = crore, "Rs" = rupees, "P/E" = price-to-earnings, "ECU" = electronic control unit, "ISG" = integrated starter generator (engine start-stop), "EFI" = electronic fuel injection, "MCU" = motor control unit, "EBITDA" = operating profit before interest/tax/depreciation, "ROCE" = return on capital employed, "SOP" = start of production, "OBD-2B" = an on-board-diagnostics emission norm.